Nirma University

Institute of Management

Trimester End Examination (IR), March - 2022
Master of Business Administration, Trimester: II
MFT4CCEF03 Macroeconomics

Roll / Exam No. | Supervisor's initial with date

Time: 2 Hours | Max. Marks : 50

Instructions:
1. Attempt all questions.
2. Figures to right indicate full marks.
3. Draw neat sketches wherever necessary.

Q-1. Examine the validity of the following statements: (Answer ***any TEN questions***) (Write Agree/Disagree and justify the same with reason in not more than ***30 words***) [10]

A. Macroeconomics is concerned with the level of output of goods and services.
B. Real GNP increases when there is an increase in the price level.
C. Product approach and income approach to measure the National Income, are not consistent with each other.
D. The marginal propensity to consume has a value greater than one but less than two.
E. In a model in which there is a household, business, government and foreign sector, GNP is the sum of consumption, net investment, government spending for goods and services and net exports.
F. When a person is employed in a sector where his/her employment does not make any difference to the output, it signifies the presence of Frictional unemployment.
G. Keynesian model of macroeconomic equilibrium emphasizes that the Supply creates its own demand.
H. The Ratchet effect is a situation where the households find it difficult to adjust to the rising income than falling income.
I. Monetized deficit is the deficit caused due to increase in net RBI credit to the commercial banks.
J. The Long Run Aggregate Supply curve is vertical as in the long run aggregate output in economy is constant.
K. Surplus/deficit in the current account is equal to Deficit/surplus in the capital account.
L. An internal balance refers to the equilibrium between savings and Investment in the economy.

Q-2. [A] Suppose capital's share of output is 0.25 and labor's share of output is 0.75 [5]

a. Find the rate of growth of output when the labor supply

increases at a 1% rate, capital increases at a 4% rate and factor productivity increases at a 2%.

b. Find the rate of growth of output when labor supply increases at a 4% rate, capital increases at a 1% rate, factor productivity increases at a 2% rate.

c. Explain the difference in the rate of growth in a) and b)

[B] The data pertaining to the various components of the money supply in India are as follows [4]

Currency with public	**Rs in crore**
Notes in circulation	1,44,818
Rupee coins	1,942
Small coins	991
Cash in hand	4,986
Deposit Money of the Public	
Demand deposits with bank	99,106
Other deposits with reserve bank	5,627
Time deposits with bank	4,83,560
Post office Deposits	
Post office savings bank deposits	5,041
Total post office deposits	25,969

Compute the four measures of money stock M1, M2, M3, M4

[C] State the effects, if any of the following events, ceteris paribus, on the position and / or slope of the AD and AS curves. [6]

a. A decrease in personal income tax rate

b. A flood that destroys crop

c. An increase in the quantity of money supply

Q-3. The following equations describe an economy [10]

C=20+0.75Yd	Consumption function
Y_d= Y−T	Disposable Income
T=0.2Y	Tax Function
I=500−15i	Investment Function
G=400	Exogenous Government Expenditure
M=10+0.1Y	Import Function
E=260	Export Function
Mt=0.25Y	Transactions demand for money
Ma=125−50i	Speculative demand for money
Ms=250	Supply of money

a. Derive the IS and LM curves

b. Find the equilibrium income and interest rate

c. Find the equilibrium trade balance

d. What will be the change in equilibrium investment if the exogenous expenditure is increased by 115?

Q-4. **India may grow at 9.5% in 2022: Moody's**

Moody's Investors Service raised its GDP growth forecast for India to 9.5% for the current calendar year from 7% earlier, citing a stronger-than expected economic recovery from the national lockdown of 2020 and the second wave of the Covid-19 pandemic in mid-2021.

The GDP growth forecast for 2023 has been retained at 5.5%. This translates into 8.4% and 6.5% growth in fiscal years 2022-23 and 2023-24, respectively, Moody's said in a statement. In November last year, Moody's had forecast India's economy to expand 7.9% in the 2022-23 financial year beginning April 1. As per official estimates, the Indian economy is estimated to grow at 9.2% in the current fiscal year ending March 31.

"... the economy is estimated to have surpassed the pre covid level of GDP by more than 5% in the last quarter of 2021. Sales tax collection, retail activity and PMIs suggest solid momentum. However, high oil prices and supply distortions remain a drag on growth," it said.

Budget Prioritizes Growth

Moody's said the recovery was lagging in contact-intensive services sectors, but it should pick up as the Omicron wave subsides. With most remaining restrictions now being lifted due to the improvement in the Covid-19 situation, including the reopening of schools and colleges for in-person instruction across various states, the country is on its way to normalcy.

"Our 9.5% growth forecast for 2022 assumes relatively restrained sequential growth rates; thus, there is upside potential to the growth rate. We estimate the carry-over from a strong finish to 2021 will add 6-7% to this year's annual growth," it said. The 2022 budget prioritizes growth, with a 36% increase in allocation to capital expenditure to 2.9% of GDP for the fiscal year 2022-23, which the government hopes will crowd in private investment. With the RBI leaving interest rates unchanged at its February meeting, monetary policy remains supportive.

"We expect the RBI to begin tightening liquidity measures and to raise the repo rate in the second half of this year, provided that growth momentum continues to improve," Moody's said.

a. Analyse the above article by using IS-LM framework. [10]

b. Based on your understanding of macroeconomic theory, do you real feel that India can achieve a growth rate of 9.5% in 2022? Justify your answer with the help of AD-AS framework. [05]